of 10 monetary policy statements or actions, the Government and the RBI will be, and in the past have been, on the same page.'

Chidambaram was finance minister for far longer than I was governor. The ballpark average that he cites—agreement eight out of ten times—may be his experience, but it certainly does not accord with mine. I found that all through my tenure, the government was distinctly uncomfortable with the Reserve Bank raising interest rates and seemed convinced that monetary policy was choking growth.

I invariably pushed back against the government's suggestions for softer interest rates. My standard counterargument to the finance ministry used to be that it was not high interest rates that were standing in the way of investments. What matters in investment decisions is not the nominal interest rate but the real interest rate, which is the interest rate after knocking out the impact of inflation. Even though the Reserve Bank was raising the policy interest rate to control inflation, real interest rates remained lower than in the pre-crisis period when we clocked record investment levels and sizzling growth. If interest rates were the only constraint, there should have been a similar investment boom now. The fact that there wasn't shows that it was not interest rates but other policy and implementation bottlenecks that were inhibiting investment.

Obviously discomfited by the ball being thrown back into their court, the government would rebut—argued in different ways by different people—that investors are influenced not by real interest rates but by nominal interest rates, an argument that I always found unpersuasive. The other argument that the government would routinely trot out is that a policy rate cut was necessary to buoy investor sentiment. The logic of why the Reserve Bank should compromise its judgement so as to become a cheerleader for the economy never appealed to me.

A tacit agreement between the government and the Reserve Bank was that we should keep our differences behind closed doors. That did not, of course, stop the media from speculating about internal squabbles—stories that would gather a momentum of their own. Notwithstanding these so-called squabbles, it is standard practice for the finance minister to issue a